City of Houston

Strategic Account Analysis and Enterprise Technology Roadmap

SLG Strategy Team

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1. Executive Summary & Macro Landscape

The City of Houston, the fourth most populous municipality in the United States, is currently navigating an intensely complex transitional epoch defined by a stringent "back to basics" political mandate, severe physical and digital infrastructure modernization requirements, and the looming operational catalyst of hosting the 2026 FIFA World Cup. Operating under the executive leadership of Mayor John Whitmire, who recently delivered his highly scrutinized 2026 State of the City address, the municipal government is aggressively pivoting away from ideological or peripheral spending toward core administrative competencies. The administration's focus is sharply trained on public safety, water and drainage infrastructure repair, and uncompromising fiscal efficiency.

The macro-political environment is characterized by significant intra-party friction and a strict demand from the electorate for budgetary discipline. Mayor Whitmire faces mounting political pressure from factions within the Harris County Democratic Party regarding his bipartisan engagements, forcing his administration to rely heavily on tangible, undeniable operational successes to maintain political capital and govern effectively. A foundational cornerstone of this governing strategy is the definitive pledge to balance the massive municipal budget without implementing any new property tax increases. Consequently, the recently passed FY2026 budget achieved balance through $122 million in strategic, targeted cuts and operational efficiencies—executed without reducing core city services—while simultaneously funding significant contractual pay increases for the Houston Police Department (HPD), the Houston Fire Department (HFD), and municipal employees. This delicate fiscal maneuvering was further bolstered by a $12 million augmentation to the Budget Stabilization Fund, signaling a highly conservative approach to capital deployment.

Furthermore, the city's overarching financial health is heavily influenced by legacy pension obligations. Following the passage of Senate Bill 2190 (Pension Reform Legislation), the city successfully reduced its unfunded pension liability from approximately $8.2 billion to $2.2 billion, amortizing the remaining legacy liability over a thirty-year period. Annual Risk Sharing Valuation Studies (RSVS) dictate strict contribution rates for the Houston Firefighter’s Relief and Retirement Fund (HFRRF), the Houston Police Officers Pension System (HPOPS), and the Houston Municipal Employees Pension System (HMEPS). For the current fiscal year, these mandatory contribution rates consume significant portions of the general fund, thereby constraining discretionary capital for enterprise technology acquisitions and forcing departments to seek operational efficiencies to fund modernization.

For the Houston Information Technology Services (HITS) department, this macroeconomic reality translates into a non-negotiable mandate for aggressive internal consolidation, the eradication of redundant technological debt, and the realization of hard cost savings. The administration's intense focus on identifying waste and duplication, spurred by a recent Ernst & Young (EY) forensic efficiency audit, has fundamentally altered the city's information technology procurement landscape. The city is no longer willing to fund disparate, siloed

departmental technology initiatives. Instead, enterprise technology is being weaponized to reduce operational expenditures, automate administrative overhead, and provide highly resilient platforms capable of supporting the massive influx of international visitors, media, and security personnel expected for the 2026 World Cup.

The core administrative goals for the current and upcoming fiscal years strictly dictate the technology spend trajectory across the enterprise. The primary focus remains on public safety and emergency response, driven by the acute need to recruit and retain first responders, alongside critical mandates to upgrade the Computer Aided Dispatch (CAD) systems, expand Criminal Justice Information Services (CJIS) compliance infrastructure, and modernize fire station emergency alerting systems. The secondary focus targets massive infrastructure resiliency. The administration is addressing critical failures in physical infrastructure, such as the 1954 East Side Water Plant and a backlog of over 1,900 broken water mains, through enhanced Enterprise Geographic Information Systems (eGIS), predictive maintenance deployments, and robust data center modernization to ensure continuous municipal operations. Finally, digital equity and citizen experience remain vital, manifesting in the transformation of citizen interactions through the optimization of the 311 Customer Relationship Management (CRM) platform, the integration of specialized agency databases, and the bridging of the digital divide via public library modernization.

The strategic intersection of these unyielding political mandates and the city's acknowledged technological debt creates a highly lucrative, yet procedurally complex, environment for enterprise technology vendors. The analysis indicates that the City of Houston is primed for comprehensive infrastructure overhauls, presenting immediate, capitalized whitespace opportunities in hybrid cloud architectures, AI-ready data storage, and ruggedized edge computing for public safety environments.

2. Organization of the Power Structure & Key Stakeholders

Understanding the nuanced dichotomy between the stakeholders who authorize financial expenditures and those who dictate technical architecture is critical for executing a successful, long-term sales campaign within the City of Houston. The municipal power structure is heavily bifurcated between the elected legislative body, which controls the purse strings, and the centralized IT executive leadership, which controls the architectural standards.

Elected Leadership & Financial Purchasing Power

The ultimate authority for budget appropriation, taxation rates, and large-scale contract approval resides with the Mayor and the Houston City Council, supported by specialized financial officers.

Mayor John Whitmire operates as the chief executive, holding significant veto power and

setting the overarching strategic vision for all municipal agencies. His administration is heavily scrutinized for financial prudence, meaning any large-scale IT procurement presented to the council must be explicitly linked to his stated operational goals of public safety enhancement, physical infrastructure repair, or transparent, waste-free municipal operations. Technology investments that cannot demonstrate a direct line of sight to these political objectives will struggle to secure mayoral backing.

Controller Chris Hollins serves as the city's independently elected chief financial officer. The Controller's office conducts exhaustive financial audits, manages municipal debt issuance, and oversees all financial reporting, including the preparation of the Annual Comprehensive Financial Report (ACFR). Because the Controller's office relies fundamentally on enterprise IT systems—specifically the massive SAP Enterprise Resource Planning (ERP) environment—for financial transparency and operational reporting, the Controller is a highly influential stakeholder in data warehouse, ERP modernization, and financial systems investments.

Within the legislative branch, the Budget and Fiscal Affairs (BFA) Committee stands as the most critical hurdle for technology vendors. Following the dissolution of the standalone Transportation, Technology, and Infrastructure (TTI) committee in late 2023, the BFA Committee assumed primary legislative oversight for all major IT contracts, cooperative purchasing agreements, and Capital Improvement Plan (CIP) authorizations. Chaired by Council Member Sallie Alcorn, with Council Member Mario Castillo serving as vice chair, this committee conducts rigorous reviews of monthly financial reports, city and component unit budgets, and all financial policies. The strategic implication for enterprise vendors is profound: the BFA Committee acts as the ultimate financial gatekeeper. Technology proposals presented for council approval must be articulated not merely in terms of technical specifications, but in terms of Total Cost of Ownership (TCO), definitive operational cost avoidance, and strict alignment with the Mayor's fiscal agenda.

Before reaching the BFA for financial approval, however, initiatives face scrutiny from the Government Operations Committee. Chaired by Council Member Fred Flickinger, this committee oversees internal service delivery, departmental performance measures, and policy changes.[1] Given HITS's ongoing IT consolidation and chargeback friction, the Government Operations Committee acts as the primary body interrogating the operational success and efficiency of HITS initiatives before capital is committed.

IT Leadership & Technical Influence

While the elected officials hold the financial authority, technical validation, architectural design, and ultimate vendor selection are heavily centralized within the Houston Information Technology Services (HITS) department. The HITS executive team determines the rigid technical standards that all other twenty-two city departments must adhere to when utilizing public funds.

Chief Information Officer (CIO) Lisa Kent oversees this massive enterprise, managing

technology services for nearly 22,000 city employees across operationally diverse departments ranging from public safety and utilities to transportation and health services. With a background that includes a lengthy tenure as Chief Technology Officer at the Houston Airport System, CIO Kent favors robust, highly available infrastructure and consolidated, shared-service models. Her stated IT strategy revolves around a strict "buy before build" methodology, heavily favoring commercial off-the-shelf (COTS) solutions and "Cloud First" architectures to minimize custom development and technical debt.

For enterprise infrastructure vendors, Deputy CIO of Enterprise Infrastructure Services (EIS) Bert Quarfordt is arguably the most critical technical stakeholder. He is directly responsible for the operational stability of Data Center Services, Network Services, Telecommunications, and End User Services. Any strategy involving compute deployments, Storage Area Network (SAN) or Network Attached Storage (NAS) refreshes, or cloud migration initiatives must pass his rigorous architectural review. His current mandate is hyper-focused on building next-generation IT infrastructure to dramatically enhance capacity and resilience ahead of the 2026 World Cup.

Cybersecurity posture and compliance are dictated by Christopher P. Mitchell, PhD, the Chief Information Security Officer (CISO). Bringing extensive experience from the aerospace and defense sectors, Dr. Mitchell enforces a highly structured, compliance-driven approach to municipal security. He operates as the definitive decision-maker for the city's dedicated cybersecurity budget, the establishment of endpoint protection standards, the execution of Zero Trust initiatives, and the strategic utilization of incoming federal State and Local Cybersecurity Grant Program (SLCGP) funds.

Navigating the bureaucratic complexities of municipal procurement requires alignment with Jane Wu, PhD, JD, the Deputy Director of Data Privacy & Business Operations Management. Dr. Wu oversees the administration and lifecycle management of information technology contracts, conducts detailed contract financial analysis, and manages the critical Requests for Council Action (RCA) pipeline, serving as the vital operational link between HITS technical requirements and the BFA Committee's financial approvals. Finally, given the massive budgetary and operational footprint of the Houston Police and Fire Departments, Nicholas Curran, Assistant Director of IT Public Safety, acts as the essential bridge between centralized enterprise IT and the highly specialized, mission-critical, and strictly regulated needs of first responders.

Analysis of Power Dynamics

A distinct and intentional shift is currently occurring in the balance of municipal power. Historically, large, well-funded departments such as the Houston Police Department, Houston Public Works, and the Houston Airport System wielded significant autonomous purchasing power, leading to decentralized IT sprawl, duplicated efforts, and fragmented data architectures. However, the current administration, armed with empirical data from the EY Efficiency Study, is actively stripping technical autonomy away from the agency level and

consolidating it firmly under CIO Lisa Kent and the HITS executive team. Therefore, while the financial funding mechanisms and budgetary line items may still technically reside within individual departmental operating budgets, the technical architectural decisions, vendor selections, and deployment strategies are now entirely gated and controlled by HITS.

3. IT Governance & Service Delivery Model

The City of Houston is currently undergoing a painful, highly scrutinized, but operationally necessary transition from a fragmented, Federated IT model to a strictly Consolidated IT delivery model. This paradigm shift is generating significant inter-departmental friction but simultaneously presents a much more streamlined, centralized target for enterprise technology vendors capable of operating at scale.

The Operating Model and Consolidation Efforts

Historically, Houston's IT environment operated as a classic hybrid-federated model. While HITS provided the core enterprise services—such as the wide area network, enterprise email, and primary data center hosting—massive entities like the Police Department, Public Works, and the Parks and Recreation Department maintained their own robust "shadow IT" organizations. A recent, comprehensive Efficiency Study conducted by Ernst & Young (EY) laid bare the financial consequences of this model, revealing that outside of the formal HITS department, ten of the eleven major city departments analyzed employed a total of 79 full-time employees performing entirely redundant IT-related activities.

To eliminate this costly duplication, standardize the city's technical architecture, and enforce rigorous cybersecurity controls across all endpoints, the proposed FY2026 budget mandates the aggressive consolidation of IT personnel and resources. Non-classified IT personnel from the Houston Police Department, the Parks and Recreation Department, Houston Public Works, and the Legal Department are being systematically stripped from their respective agency budgets and centralized under the direct command of HITS.

This centralization fundamentally alters the go-to-market strategy for technology providers. Account Executives must recognize that attempting to sell point solutions directly to departmental buyers or agency-level directors is no longer a viable strategy. Departmental leaders have lost the technical mandate to procure standalone infrastructure or software platforms. All proposed solutions, regardless of which department ultimately utilizes them, must seamlessly integrate into the overarching HITS enterprise architecture and secure explicit approval from the HITS executive leadership team.

The Chargeback Friction and Fund 1002

The consolidation of IT services is further complicated by the city's financial structure. HITS operates internally as a Central Service Revolving Fund, specifically designated as Fund 1002. Under this municipal accounting model, HITS does not possess an independent source of tax

revenue. Instead, its total revenues must exactly equal its total expenditures, a balance achieved by charging the other twenty-two city departments for their specific consumption of IT services, network bandwidth, storage, and support.

This strict chargeback model is the primary source of ongoing inter-departmental friction. Operating departments frequently view HITS chargebacks as an uncontrollable "tax" levied against their operational budgets. When departments perceive that they are paying premium rates for generalized IT services without receiving bespoke attention or rapid deployment times, they historically attempted to bypass HITS to procure their own solutions—a practice the current administration is now actively crushing.

To mitigate this intense friction, justify its chargeback rates, and adhere to Mayor Whitmire's strict mandate for fiscal restraint, HITS was forced to implement severe "Plans to Eliminate the Gap" (PEG) during the FY2026 budget formulation. HITS leadership identified over $4.01 million in PEG reductions, achieving these savings primarily by slashing non-personnel operational costs in the End User Compute Services Program, which saw a $2.1 million reduction, and Telecommunications, which saw a $1.28 million reduction. Furthermore, to optimize management efficiency and right-size the organization during the consolidation, HITS utilized a Voluntary Municipal Employee Retirement Payout Option (VMERPO) to eliminate 24 non-critical positions, generating $3.72 million in immediate personnel savings.

The strategic implication of this chargeback dynamic is clear: because HITS operates under immense, continuous pressure from peer departments to justify its internal billing rates, any enterprise technology proposed by external vendors must demonstrate clear, immediately quantifiable operational cost reductions. Solutions that offer flexible, consumption-based pricing models align perfectly with the realities of the Fund 1002 revolving structure. Such models allow HITS to charge client departments only for the exact compute, storage, and software resources they actively consume, effectively shifting enterprise IT from a static, heavily debated capital burden to a dynamic, transparent, and easily justifiable operational expense.

4. Financials & Budget Breakdown

The City of Houston's technology budget reflects a massive, enterprise-wide realization of accumulated technological debt and a concerted, capitalized effort to modernize critical infrastructure ahead of immoveable deadlines.

Total IT Operating Budget (O&M)

The proposed FY2026 budget for the Houston Information Technology Services department represents a monumental financial commitment, jumping to a total of $143,163,567. This constitutes an extraordinary 38.8% increase—amounting to $40.01 million—over the FY2025 current budget. While a portion of this staggering increase is attributable to the absorption of departmental IT budgets into HITS during the consolidation process, it also undeniably reflects

necessary, massive investments to replace long-neglected systems and maintain baseline municipal operations.

The $143.1 million Total Maintenance & Operations (M&O) expenditure is broken down into specific operational categories. Personnel Services account for $45,917,446, reflecting the influx of consolidated staff and mandatory municipal pay increases. The largest segment, Other Services and Charges—which encompasses software licensing, cloud consumption, and third-party professional service contracts—consumes $87,521,986. Supplies represent a minor $938,001 allocation. Most notably for hardware vendors, the Equipment budget line item saw a massive, immediate spike from an estimated $1.5 million in FY2025 to a proposed $8,786,134 in FY2026, signaling that a major hardware refresh cycle is imminent and capitalized.

The distribution of the M&O budget across core programmatic areas reveals the administration's specific technological priorities:

HITS Program Area	FY2026 Proposed Allocation	Strategic Focus & Core Responsibilities
Enterprise Applications	$28,680,000	Maintenance of the SAP S4/HANA ecosystem, ERP enhancements, and integration of the 311 CRM platforms.
Administrative Services	$20,601,000	Contract management, procurement facilitation, and internal business operations.
End User Compute Services	$18,646,000	Citywide PC refresh cycles, Virtual Desktop Infrastructure (VDI), and mobility support for 22,000 users.
Public Safety Radio	$17,947,000	Operation of first responder communications, radio tower site security, and CAD system infrastructure support.
Telecom Support Services	$17,491,000	Enterprise circuit upgrades, analog/POTS service replacement, and unified communications deployment.
Data Center Services	$10,447,000	Enterprise storage management, virtualization environments, disaster recovery, and cloud migration execution.
Cybersecurity Program	$8,579,000	Active threat tracking, zero-trust architecture implementation, and comprehensive endpoint security management.

Net-New Project & Capital Investments (CIP)

Net-new technology initiatives and major hardware overhauls are mapped out within the city's 2025-2029 Capital Improvement Plan (CIP). The CIP narrative explicitly acknowledges that HITS is actively auditing its entire infrastructure footprint because current "CIP funding alone is insufficient to fully address the City's technological debt". To prioritize this limited capital, the city has approved several vital technology projects.

The Data Center Refresh FY25 project (X-680100) allocates $1.35 million over the initial years to execute a strategy aimed at reducing the city's data center real estate footprint. This involves migrating workloads to DataBank colocation facilities and building out the Houston Emergency Center (HEC) as a specialized data repository. Furthermore, the Server/Storage Refresh project (X-680022) maintains an ongoing capital allocation specifically designed to replace aging infrastructure as it reaches end-of-life and to provide additional storage capacity for new enterprise applications.

Within the realm of public safety, the HPD CJIS Compliance Infrastructure project (X-100062) has secured $800,000 to be deployed over the next several years. This funding is exclusively earmarked for replacing End-of-Life (EOL) server hardware and upgrading End-of-Service (EOS) software to meet the uncompromising data policies mandated by state and federal criminal justice networks. Additionally, the massive Network Refresh initiative (X-680015) has over $5.55 million allocated to systematically replace the oldest network switches in the municipal environment and to execute critical CJIS remediation protocols within the police network.

Grants & Federal Funding

Recognizing the limitations of municipal tax revenue, the City of Houston is aggressively pursuing federal grant dollars to offset the massive costs associated with cybersecurity resilience. The most critical funding vehicle currently available is the State and Local Cybersecurity Grant Program (SLCGP), established under the federal Infrastructure Investment and Jobs Act (IIJA).

The State of Texas was allocated approximately $40 million over a four-year period (2022-2025) to distribute to local governmental entities. Crucially for Houston, state legislation and program rules mandate that a minimum of 80% of these total funds must be passed through directly to local governments. Houston is highly eligible and is actively participating in this program. Recent city council meeting minutes indicate that Houston successfully received an initial $10,000 grant to conduct a comprehensive preliminary cybersecurity assessment. While seemingly small, this initial assessment is the mandatory foundational step required by the Department of Homeland Security and the Texas Department of Information Resources to unlock access to much larger tranches of funding categorized under Objective 1 (Governance

and Planning) and Objective 3 (Mitigation and Hardware).

In addition to the SLCGP funds, the State of Texas holds an estimated $800,000 for the Internet Crimes Against Children (ICAC) Grant Program spanning FY2026 and FY2027. Crucially, the City of Houston is one of only three entities in Texas (alongside the City of Dallas and the Texas Attorney General) eligible to apply for these funds, which are explicitly earmarked for forensic equipment, software, and specialized training to combat technology-facilitated crimes. This represents an exclusive, highly targeted funding pool for high-performance endpoint and storage sales within HPD.

The strategic implication here is highly actionable. Technology vendors offering robust Cyber Recovery, immutable storage, and Data Protection solutions have a portfolio that maps directly to the SLCGP Objective 3 (Mitigation) criteria. Account teams should proactively assist HITS leadership in formulating grant applications that mathematically justify advanced data protection appliances as critical, one-time mitigation controls against the persistent threat of ransomware, thereby allowing the city to acquire top-tier infrastructure using federal funds rather than constrained local capital.

5. Strategic Initiatives & Projects

The City of Houston's technology roadmap is not merely a schedule of hardware replacements; it is driven by a complex blend of long-term strategic administrative evolution and the urgent, unyielding deadlines associated with hosting global events.

Top-Level Government Mandates

The most pressing catalyst for infrastructure modernization is the impending 2026 FIFA World Cup. Houston is slated to host seven matches, an event that will draw massive international attention, hundreds of thousands of visitors, and a commensurate increase in security threats. Recognizing the heightened risk of sophisticated adversarial cyber-attacks and the need for flawless logistical coordination, HITS is executing a massive "Next Generation Network" project. This initiative involves upgrading telecommunications circuits across more than 340 city facilities to ensure robust, resilient, and highly redundant connectivity capable of supporting global media broadcasts, managing mass transit shuttles, and facilitating seamless, integrated public safety communications.

Simultaneously, the administration is pushing a broader Smart City and digital equity agenda designed to modernize routine citizen interactions and streamline municipal workflows. This includes a major, complex integration of the 311 non-emergency service request system with backend CRM tools, specifically targeting integrations with the BARC animal control database to improve response tracking. To address the digital divide, the city is funding the deployment of public-facing printing kiosks, expanding access to digitized lab equipment, and executing an Integrated Library System refresh within the Houston Public Library network. Crucially, this Digital Equity Initiative operates at a massive scale due to successful "Funding Amplification,"

where an initial municipal investment of $2 million successfully attracted over $75 million in additional funding specifically for digital inclusion efforts. This massive influx of capital presents an enterprise-scale opportunity for broad technology deployments.

Furthermore, addressing the operational inefficiencies identified in the EY forensic audit, the study explicitly recommends that the city implement Robotic Process Automation (RPA) bots. This initiative aims to handle routine manual tasks like data entry, scheduling, and basic customer service inquiries, creating a demand for robust virtualized compute environments to serve as the foundation for these new automation workloads.

Agency-Level Modernization

The Houston Police Department (HPD) represents the most mission-critical and technologically demanding environment within the municipality. Beyond the perennial, mandated CJIS compliance hardware refresh cycles, HPD is aggressively executing a major Disaster Recovery (DR) Cloud Infrastructure project (X-100060). This $993,000 initiative aims to transition HPD's legacy on-premises disaster recovery environment to a Microsoft Cloud-based solution. The stated operational goal is to allow the department to rapidly restore crucial data and applications, or run entirely off the cloud, during an IT disaster, thereby minimizing the manual, time-consuming processes of their current recovery methods. Furthermore, HPD is actively investing capital in body camera storage expansion, audio-visual equipment refreshes across precincts, and the enterprise-wide rollout of multi-factor authentication protocols.

Additionally, HPD is currently undergoing a massive Records Management System (RMS) overhaul. The department is extending its legacy Tiburon contracts while pushing for a critical target Go-Live date of October 2026 for a new Versaterm RMS. This transition, scheduled dangerously close to the 2026 World Cup, represents a highly critical data migration, integration, and secure compute opportunity.

The Houston Fire Department (HFD) is similarly focused on operational modernization to improve life-saving response times. HFD recently completed a comprehensive modernization of the Emergency Alerting System (EAS) across 93 active fire stations. This project replaced legacy technology with modern systems that automate station preparation upon dispatch—turning on lights, opening bay doors, and transmitting text alerts—to physically prepare firefighters for rapid departure. Upcoming CIP projects for HFD include refreshing Mobile Data Computers (MDCs) installed in emergency apparatus and upgrading their specialized tracking and distribution software systems.

The Municipal Courts Department (MCD) is fundamentally overhauling its digital infrastructure through the CSMART Infrastructure Migration project (X-160014). This $894,000, multi-phased project is designed to refresh the current on-premise CSMART hardware while simultaneously migrating disaster recovery systems to a Cloud Service Provider. This initiative aims to drastically reduce the internal hardware support requirements and ensure the continuous

operation of a system that processes over $20.5 million in annual municipal revenue.

IT-Level Infrastructure Mandates

At the enterprise level, HITS is executing a "Cloud First" Data Center Strategy. The strategic intent is to aggressively reduce the city's carbon footprint and expensive real estate footprint by consolidating physical data centers. The approved architecture explicitly favors a "Cloud First" approach for new workloads, utilizes commercial DataBank colocation facilities as a secondary tier, and maintains the Houston Emergency Center (HEC) as a specialized, highly secure on-premise alternative for mission-critical applications that cannot tolerate cloud latency.

The most dominant software initiative within the city is the SAP S4/HANA Cloud Migration. The city's entire financial, procurement, and human resources backbone runs on the SAP platform. A massive, highly complex, multi-year initiative is currently underway to migrate the legacy on-premise SAP environment to the SAP S4/HANA Cloud, targeted for completion in the 2027-2028 timeframe.

However, because the final cloud migration remains years away, the current on-premise SAP infrastructure is operating dangerously close to End-of-Life (EOL), posing an unacceptable risk to municipal operations. To ensure stability during this transitional phase, HITS created Project X-680102 to perform an urgent interim refresh. The CIP documentation explicitly cites the immediate need to "perform a replacement of the controller heads for NetApp with the service and warranty to provide coverage through 9/30/2027 while also upgrading VMWare to 8.0".

6. Procurement, Vendor Landscape, & Compliance (The Operational Reality)

Successfully selling enterprise technology to the City of Houston requires adept navigation of a heavily regulated procurement ecosystem, a deep understanding of entrenched incumbent vendors, and strict adherence to emerging state-level data mandates.

Procurement Vehicles & Preferred Purchasing

To bypass the lengthy, resource-intensive, and highly customized Request for Proposal (RFP) processes for standard technology acquisitions, the City of Houston relies almost exclusively on established cooperative purchasing agreements. The Budget and Fiscal Affairs Committee actively monitors, tracks, and periodically authorizes multi-million dollar spending allocations for these specific vehicles, ensuring compliance with municipal codes.

The Texas Department of Information Resources (DIR) is the undisputed primary procurement vehicle for the city. Historical utilization data presented to the city council demonstrates that the city regularly exhausts its massive DIR allocations, frequently utilizing over $16.7 million out of a $22.1 million allocation in a single fiscal year across all departments. Vendors not actively

listed on a DIR contract face nearly insurmountable bureaucratic hurdles in this account.

OMNIA Partners (formerly NIPA) is utilized as a robust secondary vehicle. It is often leveraged for broader enterprise agreements, specialized services, or commodity hardware, capturing multi-million dollar annual utilization. Other federal and national vehicles, such as GSA schedules and NASPO ValuePoint, are authorized and utilized by the purchasing department, but they typically account for a much smaller fraction of the total IT spend compared to the state-level TX DIR.

Despite the streamlined nature of these cooperative vehicles, all purchases routing through them still require strict internal controls. Any cooperative purchase exceeding $100,000 must actively obtain Minority/Women Business Enterprise (M/WBE) participation goals or secure an explicit, heavily justified waiver from the Office of Business Opportunity. Furthermore, any material group categorized as technology requires explicit, systematic sign-off from HITS within the SAP procurement system, reinforcing CIO Lisa Kent's absolute architectural gatekeeping authority.

Incumbents & The Vendor Landscape

The Value-Added Reseller (VAR) ecosystem in Houston is highly consolidated, dominated by a select group of deeply entrenched players. A recent, highly contested $30.5 million multi-vendor award for comprehensive IT Professional and Consulting Services was granted to Netsync Network Solutions, CST Corporation, and Bahwan Cybertek. This five-year contract provides HITS with staff augmentation, infrastructure implementation, and endpoint management services. Netsync, in particular, holds a massive, dominant footprint within the city and the broader Texas public sector, frequently fulfilling complex orders for networking, compute clusters, and storage arrays. Aligning an enterprise channel strategy with Netsync or CST is not merely advantageous; it is often a prerequisite for execution. However, Dell Account Executives must navigate this relationship strategically: in November 2025, Netsync was named Cisco's Enterprise Partner of the Year for the Americas USA West. Given their award-winning momentum with a primary competitor, the Dell team must actively strategize whether to pull Netsync toward Dell architectures for upcoming compute refreshes or to heavily leverage alternative partners on the contract, such as CST Corporation, to bypass Cisco's channel dominance.

The city's enterprise storage environment is heavily fragmented, reflecting years of decentralized purchasing. NetApp is deeply entrenched within the core data center, specifically supporting the massive, mission-critical SAP ERP environment. Conversely, Pure Storage also maintains a significant footprint, having successfully secured high-value contracts for all-flash data storage solutions utilized in other programmatic areas.

In the compute and endpoint domain, Dell Technologies operates as a well-established incumbent. Dell holds vast historical contracts executed through the DIR vehicle for PowerEdge servers—often specifically deployed to support HPD applications and general virtualized data

center loads—as well as extensive, recurring client computing and desktop deployment agreements.

Compliance & Data Mandates

Regulatory compliance serves as a non-negotiable operational driver for technology purchases in Houston, often providing the primary, unquestionable justification for multi-million dollar capital requests.

The Criminal Justice Information Services (CJIS) policy is the most rigid compliance framework impacting the city. The Houston Police Department is legally mandated to maintain strict access controls, advanced encryption standards, and immutable audit trails for all criminal justice data. Critically, CJIS policy strictly and explicitly forbids the use of End-of-Life (EOL) or End-of-Service (EOS) hardware and software in any system touching criminal data. This inflexible mandate creates a mandatory, recurring hardware refresh cycle that HITS simply cannot defer, delay, or ignore, regardless of broader municipal budget constraints.

Looking forward, the Texas Responsible AI Governance Act (TRAIGA - HB 149), signed into state law and effective January 1, 2026, established a massive compliance framework for any governmental entity deploying Artificial Intelligence systems within Texas. However, this regulatory landscape shifted dramatically in December 2025 when President Trump signed an Executive Order asserting broad federal authority over state AI laws. This order establishes a "minimally burdensome" national AI governance framework, creates a DOJ AI Litigation Task Force to challenge state requirements, and threatens to condition federal broadband funding on states pausing the enforcement of conflicting AI statutes.

The strategic implication of this state-versus-federal clash is immediate and profound: Houston faces a period of immense legal uncertainty. The city cannot safely utilize generalized public cloud AI services (such as Azure OpenAI or AWS Bedrock) without risking exposure to this ongoing jurisdictional battle over data lineage, privacy, and algorithmic accountability. This legislative reality forces the city to pivot toward "AI-ready" on-premise or sovereign hybrid-cloud architectures where data governance, model training, and inferencing can be strictly and internally controlled to maintain absolute data sovereignty.

7. Actionable Dell Opportunities

The synthesis of Houston's macro-political environment, the aggressive HITS consolidation strategy, the historic $143 million FY2026 budget, and uncompromising compliance mandates reveals multiple highly lucrative, immediate whitespace opportunities for Dell Technologies. To capture this spend, the account team must pivot from selling raw speeds and feeds to selling operational outcomes that directly align with Mayor Whitmire's fiscal agenda and CIO Lisa Kent's architectural roadmap.

Opportunity 1: The SAP Storage Modernization & APEX Play (Competitive Displacement)

The Vulnerability: HITS has publicly documented in its official CIP requests that its current NetApp storage infrastructure supporting the mission-critical SAP environment is nearing End-of-Life and poses severe stability risks to municipal financial operations. While their ultimate, long-term goal is to migrate entirely to the SAP S4/HANA Cloud by 2027-2028, they are requesting capital right now (Project X-680102) to perform a stop-gap "replacement of the controller heads for NetApp" to simply limp along for the next three years.

The Dell Action: The account team must aggressively intercept this procurement cycle and execute a rip-and-replace displacement using Dell PowerStore or Dell APEX Block Storage.

- **The Strategic Pitch:** Upgrading legacy NetApp controllers is a highly inefficient sunk capital cost for an architecture the city actively plans to abandon. By shifting this workload to Dell APEX, HITS can consume high-performance, guaranteed SAP-certified storage as a dynamic operational expense (OpEx). This model aligns perfectly with the financial realities of their Fund 1002 chargeback model, avoids locking up precious CIP capital in depreciating assets, and provides seamless, natively integrated hybrid-cloud mobility when HITS is finally ready to execute the S4/HANA cloud migration in 2028.

Opportunity 2: Public Safety Edge & CJIS Compliance (Funded Technology)

The Vulnerability: The Houston Police Department is legally compelled by CJIS regulations to continually replace EOL/EOS server hardware, guaranteeing a funded refresh cycle. Simultaneously, preparing for the 2026 World Cup requires a massive, immediate expansion of distributed computing capabilities, real-time video surveillance analysis, and mobile command centers to ensure public safety. Furthermore, HPD's current attempt to move their Disaster Recovery entirely to the Microsoft Cloud (Project X-100060) will inevitably face severe latency challenges, unpredictable egress costs, and complex CJIS compliance hurdles when dealing with massive video and evidentiary files.

The Dell Action: Position Dell PowerEdge XR (Rugged Edge) Servers and VxRail hyperconverged infrastructure as the uncompromising, foundational architecture for HPD's

modernization.

- **The Strategic Pitch:** Ensuring public safety during a globally televised event like the World Cup cannot rely exclusively on centralized public cloud computing due to inherent latency and connectivity risks. Dell's Edge computing portfolio allows HPD to process CAD data, facial recognition algorithms, and high-definition video analytics locally at the precinct or mobile command level, maintaining strict, verifiable CJIS compliance. Furthermore, Dell should propose a hybrid-DR strategy where VxRail infrastructure serves as the highly available, high-performance on-premise anchor, seamlessly replicating to Azure, rather than attempting a risky, full-cloud refactor of legacy public safety applications.

Opportunity 3: AI Governance & Data Sovereignty (Underserved Whitespace)

The Vulnerability: The impending clash between the Texas Responsible AI Governance Act (TRAIGA) and the December 2025 federal Executive Order preempting state AI laws represents a massive, unaddressed legal and operational blind spot for the municipality. The city is currently generating staggering amounts of unstructured data across disparate systems. If Houston attempts to feed this disorganized data directly into commercial public cloud AI engines to achieve their "Smart City" goals, they will expose the municipality to severe legal liabilities and jurisdictional crossfire.

The Dell Action: Lead with Dell Advisory Services, transitioning into infrastructure sales featuring Dell PowerScale (Isilon) paired with Dell AI Factory solutions.

- **The Strategic Pitch:** Pivot the conversation from strict TRAIGA compliance to navigating legal uncertainty and maintaining absolute data sovereignty. Before Houston can safely leverage AI, they must organize, classify, and secure their sprawling data lakes. By utilizing Dell AI-ready infrastructure deployed securely on-premises, HITS can build secure, localized Large Language Models (LLMs) that analyze citizen data while shielding the city from the shifting legal risks associated with public cloud AI ingestion.

Opportunity 4: Cyber Resilience & Federal Grant Capture (Funded Technology)

The Vulnerability: While HITS maintains a dedicated $7.9 million cybersecurity operating budget, executive leadership has explicitly stated to the city council that current CIP funding is dangerously insufficient to address the city's long-term technological debt, officially warning of potential "cybersecurity vulnerabilities with financial consequences".

The Dell Action: Align Dell PowerProtect Cyber Recovery and Data Domain solutions directly with the objectives of the federal State and Local Cybersecurity Grant Program (SLCGP) and state-level justice grants.

- **The Strategic Pitch:** The State of Texas holds $40 million in federal cyber grants, and Houston is currently navigating the application process for these funds. Dell Account Executives should proactively collaborate with CISO Chris Mitchell, Deputy CIO Bert Quarfordt, and key VAR partners like Netsync to draft comprehensive grant proposals. These proposals must frame an isolated, air-gapped Dell Cyber Recovery Vault as a mandatory, critical "Mitigation" control, aligning perfectly with SLCGP Objective 3 criteria. Additionally, the account team should target the exclusive $800,000 ICAC grant to position high-performance endpoint and forensic storage specifically for HPD's cyber-crime units. This strategic maneuvering effectively allows Houston to procure top-tier, enterprise-grade Dell data protection infrastructure using alternative funds.

Opportunity 5: HPD Versaterm RMS Migration & RPA Infrastructure (Funded Technology)

The Vulnerability: HPD is facing a massive, immoveable deadline to transition from its legacy Tiburon Records Management System to a new Versaterm RMS by October 2026. Simultaneously, the city is under immense pressure from the EY Efficiency Study to implement Robotic Process Automation (RPA) bots across departments to reduce manual labor.

The Dell Action: Position Dell VxRail hyperconverged infrastructure or PowerEdge compute clusters as the dedicated foundation for these critical software deployments.

- **The Strategic Pitch:** The Versaterm Go-Live date arrives just months after the 2026 World Cup. HPD cannot risk performance degradation or data migration failures during this critical period. Dell's hyperconverged portfolio offers the exact scalable, high-performance compute necessary to rapidly spin up environments for the new RMS database and host the EY-mandated RPA bots, ensuring seamless municipal operations and rapid deployment.

Opportunity 6: Master Data Management & Enterprise Storage (Funded Whitespace)

The Vulnerability: The city is currently hindered by fragmented information and a lack of common data identifiers across departments, impairing analytics and decision-making. To address this, HITS has secured over $6.4 million in capital funding for the Master Data Management (MDM) project (Project X-680040).[2] **The Dell Action:** Position Dell's enterprise storage portfolio (PowerStore, PowerScale) as the foundation for the new Enterprise Data Warehouse.

- **The Strategic Pitch:** The MDM project specifically aims to establish a single version of truth across all municipal applications.[2] Dell can provide the high-performance, scalable, and highly available storage architecture required to ingest, consolidate, and serve this massive influx of enterprise data, seamlessly integrating with the city's broader AI readiness and data sovereignty goals.

Works cited

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